

1810.T pitch deck

I wrote this from the court record as supplied; I did not re-pull the tape (the pack's ¥1,468 close is what both benches used) and I did not open the two documents both benches flagged as unread. Both facts are stated in the deck rather than hidden.

PITCH — 1810.T — VERDICT

PROPOSED — PENDING ADJUDICATION — Matsui Construction (松井建設, Tokyo Stock Exchange Standard, ticker 1810) at ¥1,468 is *fairly priced, not cheap*; we propose a small starter position held for the dividend and the balance sheet, explicitly labelled as carry rather than as an edge, at a size the exit can actually clear.

What we believe

Matsui is a 440-year-old Japanese general contractor — it builds temples, shrines, and offices, mostly for domestic customers. It is unlevered in the extreme: no interest-bearing debt, 65.1% of the balance sheet funded by equity, interest cover of 347.6x. Roughly ¥17.0B of cash and ¥20.2B of listed shares in other companies sit against a ¥41.87B market value for the whole business.

The stock trades at 0.73x its stated book value of ¥1,999.52 per share, is down 25.3% from its 52-week high of ¥1,964, and pays a forecast ¥70 dividend — 4.77% at today's price.

What we believe, stated at the strength the evidence actually supports:

1. **This is a fairly-valued, structurally safe, ignored asset — not a discount.** Using the company's own forecast return on equity of 6.94% and its 50% dividend-payout policy, a standard valuation gives a fair price-to-book range of 0.69x–0.86x, or **¥1,379–¥1,722 per share**. Today's ¥1,468 sits in the lower half of that band. Against the two closest comparable contractors, it prices roughly on the line once you adjust for differences in profitability.
2. **The downside is genuinely bounded by the balance sheet**, not by an argument. There is no debt to accelerate, no refinancing, no covenant. The company has survived four centuries of Japanese business cycles.
3. **We are being paid to wait, but barely.** The 4.77% dividend becomes roughly 2.4%–2.8% after US tax, because of a tax classification explained below. That is approximately what a Treasury bill pays after tax — so the carry is not the reason to own this.
4. **We are therefore proposing this as a small carry-and-optionality holding**, not as an alpha idea. Nobody on either bench produced a mechanism by which the market's view is wrong.

What the market believes

The market believes exactly what the company tells it, and prices it correctly:

- The company guides operating profit **down 4.6%** in the year ending March 2027, to about ¥5.4B, with earnings per share of ¥140 and a ¥70 dividend.
- The company's published three-year plan (2025–2027) targets, at its endpoint, sales of ¥99.0B, operating profit of **¥3.5B**, and a **6% return on equity** — with an explicitly stated policy of *not* pursuing scale expansion (身の丈経営, roughly “operate within our own size”).
- Comparable orphaned contractors trade at similar multiples once profitability is matched. Zenitaka (1811) trades at 0.55x book on a 4.01% return on equity; Kitano Construction (1866)

trades at **0.76x book on 7.53%** — i.e. *above* Matsui.

So the market is not making an error here. It is pricing a low-return, no-growth, illiquid, self-declared non-grower at a low-return, no-growth multiple. There is no visible dispute between us and the market — only a dispute about whether that price is fair, and our own work says it roughly is.

Why we might have edge

Honestly: **thin, and mostly non-price**. The candidates, ranked by how much I believe them:

1. **Nobody covers it.** There is no analyst note, no earnings call (the results release literally states 決算説明会 開催の有無: 無 — “investor briefing held: no”). Price discovery comes from the company’s own filings and a small retail float. Where the discovery process is that weak, the price can drift from fair without anyone arbitraging it. That is a *structural* reason for dispersion, not a directional edge.
2. **The most recent quarter shows the cost-control mechanism working.** First-quarter operating profit rose **15.9% on a 10.2% decline in sales**, and the company raised guidance on 2026-02-12. That is the disclosed mechanism (change-order capture plus cost reduction) actually producing results against a guide of decline. It is one quarter, and it is the seasonally smallest quarter for a March-year-end Japanese contractor, where completions concentrate in January–March.
3. **A tax classification that improves if we are right.** Because more than half of Matsui’s assets are cash and securities, the position is likely classified as a passive foreign investment company (PFIC) for US purposes — a punitive treatment. That test fails (favourably) once the market value of the company rises above about ¥43.8B, i.e. **¥1,536 per share, only 4.6% above today**. The tax penalty is worst exactly when the stock is cheapest and disappears as it works. This is a genuine and mildly attractive asymmetry — but the actual test uses a four-quarter average that **neither bench computed**.
4. **The Tokyo Stock Exchange’s pressure campaign on sub-book companies** to publish cost-of-capital-conscious plans reaches Standard-market issuers, which supplies a structural actor. Not verified against the compliance list, not load-bearing.

What we do *not* have: a differentiated forecast. We have no view on the order book that management doesn’t already have, and we have not tested margins at the project level. We would be paying about 12x normalized earnings to disagree with the only party that can see the contracts.

Why it might be priced in

Most of it is.

- **Our own fair-value estimate is not robust enough to call the stock cheap.** The two benches produced fair-value bands of ¥1,090–¥1,340 (bear) and ¥1,379–¥1,722 (bull). The *entire* difference is one input: 6.0% versus 6.94% return on equity. Slightly under one percentage point of assumed profitability moves fair value **26%**. At a mid-range discount rate, the same model gives ¥1,200 on the plan’s number and ¥1,532 on the company’s forecast — with today’s ¥1,468 in between. A model that sensitive cannot distinguish “fair” from “20% expensive.” We should say so out loud rather than lean on “inside the band.”
- **The peer test is a two-name sample.** Price-to-book per point of return on equity: Matsui 0.105, Kitano 0.101, Zenitaka 0.137. Matsui is ~4% expensive versus one peer and ~23% cheap versus the other. That is noise, not a signal.
- **The cheapness is partly an accounting artifact that moves with the market.** About 27% of the book value is a portfolio of other companies’ shares, ¥10.7B of which is unrealized gain on a

book that grew 38% in one year. The “0.73x book” floor is not a floor — a Japanese equity drawdown cuts the book value and the operating stub *at the same time*.

- **The “hidden asset” cannot be sold.** The shares Matsui owns are largely reciprocal holdings with banks that in turn own Matsui (Mizuho 4.57%, Hokuriku 4.57%, Ogaki Kyoritsu 4.31%, Mizuho Trust 2.68%) plus a 4.58% supplier shareholders’ association. These are the price of the order book. Selling them would damage the business that generates the earnings. The market prices this release option at zero, and it is probably right.
- **The dividend is not a floor.** ¥3 of last year’s ¥78 was a 440th-anniversary commemorative payout, and the payout policy is a ratio (50%), not a level. If profit falls to the plan’s endpoint, the dividend falls to roughly ¥60.
- **After tax, the carry ties cash.** ~2.4%–2.8% after-tax against a Treasury bill at roughly 2.4% after tax (this last comparison is **unverified** — the broker data pull was denied).

What could go wrong

Failure narrative 1 — The book melts with the market (*tripwire exists*)

A 20–25% drawdown in Japanese equities removes roughly ¥5B from the securities portfolio. Book value per share falls, the “0.73x book” support evaporates, and the operating stub de-rates alongside it because the same macro shock hits construction demand. We do not get the diversification we thought we bought — we get one exposure priced twice. **Monitorable:** securities balance down ≥¥3B at any reporting date; Japanese bank/TOPIX index drawdown ≥20%.

Failure narrative 2 — 5.9% margin was the cycle peak, and it erodes inside the backlog (**NO MONITORABLE TRIPWIRE**)

The order backlog is ¥101.4B with a book-to-bill ratio of 1.07. **Neither bench tested the margin at which that work was won.** If contracts signed in 2025–2026 were bid at thin margins under materials and labour inflation, the margin decays as they are executed — and we find out only when it appears in a quarterly gross-margin line, by which point it is realized, not forecastable. This is the variable that actually decides whether 5.9% is structural or cyclical, and it is the one variable we cannot watch.

Unknown-unknown class: aggregation opacity — the load-bearing economic unit (the individual project) is never disclosed at the level at which it operates. A single loss-making job on a fixed-price temple or office contract — rework, a defect claim, a dispute — is invisible in a consolidated ¥95B revenue line until it has already happened. Adjacent members of the same class here: customer concentration (the major-customer note in the annual securities report was never pulled) and Japanese seismic exposure on the company’s own property (we have **no seismic-hazard data connector at all** — the one in the toolkit is US-only).

Failure narrative 3 — Structural and reflexive: we cannot leave, cannot harvest the loss, and own the exposure twice

Three of our own constraints compound:

- **Exit friction.** Average daily turnover is ¥49.6M (~\$335k). At our 1%-of-volume discipline, a ¥5M (~\$34k) starter takes about **10 sessions each way**; the \$156k position the bear bench attacked would take ~**47 sessions each way**. Our exit trigger (a Japanese equity drawdown) is precisely the condition under which everyone else holding an illiquid orphan is also selling — so our own predicted flow is *correlated with* and *adverse to* our exit, and the ≤1%-of-volume rail becomes a 10-week liquidation into a falling bid.

- **The loss is not harvestable.** Under the passive-foreign-investment-company mark-to-market rules, gains are taxed as ordinary income every year, while losses are deductible only against gains previously recognized on the *same* position. A first-year 30% decline produces **no usable tax loss**. Long-term capital-gain treatment is never available. Our book is built around tax-loss harvesting; this name is structurally incapable of contributing to it.
- **Sleeve double-count.** The ¥20.2B securities portfolio is mostly Japanese bank shares, and we just enqueued T&D Holdings (8795.T) plus three other Japanese names in the same sweep. Buying Matsui is a second, levered helping of Japanese financials wearing a construction label. Funding is in yen per standing policy, which neutralizes most currency effect at the sleeve level — but **the currency-balance check should be run before the buy**, not assumed.

If this position loses money, the most likely reason will be that we paid a fair price for a fairly-priced asset and then the Japanese equity market fell — taking down the securities portfolio that is 27% of the book value, the construction demand behind the operating stub, and our ability to exit an illiquid orphan, all at once, while the tax rules denied us the loss.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Market cap ¥44.89B (Yahoo)	Share count reconciliation	Yahoo uses 30.58M <i>issued</i> shares; 28,520,861 are outstanding after 2,059,139 treasury shares → ¥41.87B . Bear bench caught it, bull bench adopted it	✅ Corrected
Three-year plan targets operating profit ¥3.5B / 6% return on equity — “management says profit falls 38%”	Read the plan document	Bear bench error (severity). Figures are right, framing is wrong: the plan runs 2025–2027 and the year already reported (FY3/26, operating profit ¥5,659M) is year one of that same plan . The target is a conservative floor already beaten, not a forecast of decline	⚠️ Partial — figures via search summary only; the 8.5MB PDF failed to parse for both benches
Fair value ¥1,090–¥1,340 → “stock is 9–26% overvalued”	Re-derived with live inputs	Bear bench error. It used the plan’s 6.0% return on equity instead of the live company forecast of 6.94%. Correct band: ¥1,379–¥1,722 . The overvaluation verdict was one substituted input	❌ Overtaken
“0.73x book is a 35–55% premium to peers at 0.47x and 0.54x”	Live peer pull with profitability attached	Bear bench data error. Kitano (1866) is 0.76x on 7.53% return on equity — above Matsui , not 0.54x. Zenitaka is 0.55x on 4.01%. Adjusted for returns, Matsui sits on the peer line	❌ Overtaken
“Liquidity is fine — the proposal is only a \$5–10k starter”	Cross-checked against the same bench’s own sizing	Bull bench inconsistency. It rebutted the liquidity kill using a \$5–10k figure, then proposed 0.25–0.4% of book — roughly \$28–45k on a book of this size, about 4x larger . The rebuttal was made at a size nobody was actually proposing	⚠️ Flagged; resolved in sizing below
Tax penalty disappears at ¥1,536 (+4.6%)	Arithmetic re-check	Arithmetic is right, but the statutory test uses a four-quarter average of asset values, which neither bench computed . Presented as confirmed; it is not	⚠️ Over-claimed
Dividend of ¥70 = 4.77% is underwritable	Payout-policy arithmetic	Bear bench right on substance: the payout is a 50% <i>ratio</i> , ¥3 of last year’s ¥78 was a one-off anniversary payment, and at plan-level profit the dividend is ~¥60 (4.09%). After US tax: ~2.4%–	✅

Claim	How checked	Found	Confirmed?
		2.8% , never qualified-dividend treatment	
Cash is a ¥17.0B fortress	Multi-year balance-sheet series	Cash by year: ¥16.6B → ¥13.3B → ¥19.8B → ¥9.3B → ¥13.5B → ¥17.0B. It halved once. Against ¥12.27B of customer advances on construction in progress	✅ Volatile, not a fortress
Securities portfolio is a clean hidden asset	Balance-sheet decomposition	Rose ¥14.66B → ¥20.20B (+38%) in one year on a book with a 76% embedded gain — a peak mark against a trough market cap. Both ends of the “78% of market cap” ratio flatter the case	✅ On the balance move; mark-vs-cost split unresolved
Detector dispatch was appropriate	Reviewed both benches’ detector lists	Our own infrastructure error. Five US municipal building-permit detectors were dispatched at a Japanese contractor, matched on the feature string “construction activity claim” rather than on jurisdiction. Both benches independently rejected them. The matcher needs a jurisdiction key	❌ Our error
Minimum tradable size	Not addressed by either bench	Tokyo Stock Exchange standard trading unit is 100 shares → ~¥146,800 (~\$1,000) per lot, so a ¥5M position is ~34 lots. Fine, but verify the unit for 1810 and confirm our broker has Japan trading permission and market data before staging anything	⚠️ Unverified

Primary source for the reported financials cited throughout: [FY3/2026 決算短信 \(company results release\)](#).

PROPOSED ENTRY BANDS

Fair-value reference band, from the bull bench’s corrected math: **¥1,379 – ¥1,722** (0.69x–0.86x book value of ¥1,999.52, on a 6.94% forecast return on equity, 50% payout, 7.5%–8.5% cost of equity). Today’s ¥1,468 is in the lower half. Currency conversions below use ~¥148/\$ and are approximate.

Starter — ≤ ¥1,470 (i.e. at market today) Size: **the lesser of 0.25% of book or ¥5.0M (~\$34k)** — the liquidity cap binds first and is the operative limit, which is how the bull bench’s size inconsistency resolves. Execute at ≤1% of daily volume over **≥10 sessions** (~¥500k/day). Labelled *carry and balance-sheet exposure*, not alpha. Below the normal 0.5–1.0% floor for a fairly-priced quality name, docked for the tax treatment and the unsellable cross-holdings.

Add — ≤ ¥1,380 The bottom of the fair band (0.69x book). Second lot of equal size, same execution rail; total position not to exceed 0.5% of book or ¥10M, whichever is smaller. Note that the 52-week low of ¥1,294 sits *below* this level, so the add is reachable without anything new going wrong.

Full size — ≤ ¥1,150 (0.575x book) This was the bear bench’s no-entry gate; the bull bench overturned it as an artifact of the refuted inputs, and I keep it — not as a barrier, but as the level at which the bear’s own objection inverts: after-tax carry clears 5%, and the price sits below even the pessimistic fair band. Only here would a position above 0.5% of book be justified.

Trim — ≥ ¥1,722 Top of the warranted band. Take the position back to starter size.

Exit in full — on any one of: - Investment securities balance down ≥¥3B at a reporting date (the reflexive book floor breaking) - Operating margin below 4.5% in a reported quarter (the cyclical-peak thesis confirming) - The company *lowers* its three-year plan targets (as opposed to merely not raising them)

Note the ¥1,536 line (+4.6%): above it the punitive tax classification may lapse, roughly doubling the after-tax carry. It is not an entry or exit trigger — it is a *watch* level, and its real test is a four-quarter average we have not computed.

Catalyst dates: the next results release is estimated **early November 2026** (Q2, fiscal year ending March 2027) — **UNCONFIRMED**; the data pack's date field is null and no company announcement names it. Last year's guidance revision came on 2026-02-12, so the third-quarter release in **early February 2027** is the historical revision window. The annual securities report for the year ended March 2026 — the document containing the cross-shareholding schedule that would settle the “hidden asset” question — **has already been filed and simply has not been read by us**; that is a work item, not a catalyst.

No order should be staged until the verdict is adjudicated. This deck is a proposal.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1150.0 (deck-provisional: Full-size level (0.575x book) where the bear bench's own valuation objection inverts)
- dated pack 1810.T|2026-11-06: 1810.T: Q2 FY3/27 results release (estimated; pack date null, no company announcement names it) (date confirmed=False)
- dated pack 1810.T|2027-02-12: 1810.T: Q3 FY3/27 results and historical guidance-revision window (prior-year revision fell on this date) (date confirmed=False)
- dated pack 1810.T|2027-05-14: 1810.T: FY3/27 full-year results; first read on whether 5.9% operating margin was cyclical (date confirmed=False)
- dated pack 1810.T|2027-06-25: 1810.T: FY3/27 annual securities report; cross-shareholding schedule. NOTE: the FY3/26 edition is already filed and unread — pull it now (da

What remains unverified

1. **The three-year plan figures** (¥3.5B operating profit, 6% return on equity, and their fiscal-year labelling) rest on a **search summary**, not a direct read — the 8.5MB integrated-report PDF failed to parse for both benches. Both benches docked themselves for this; neither could close it. *This is the single most load-bearing unverified item, since it is the whole bear case.*
2. **The four-quarter average asset test** that actually determines the tax classification. Both benches used a point-in-time calculation.
3. **Margin at award** on the ¥101.4B order backlog. Untested by either bench; it is the variable that decides whether 5.9% is structural.
4. **The cross-shareholding schedule** — what is cost and what is unrealized mark in the ¥20.2B, and whether any disposal plan is stated.
5. **Customer concentration** — the major-customer note in the annual report was never pulled.
6. **The next results date.** Estimated early November 2026; no company announcement confirms it.
7. **The cash-equivalent comparison** for the after-tax carry — the broker snapshot was denied, so “T-bills at ~2.4% after tax” is an assumption.
8. **Tokyo Stock Exchange sub-book-value disclosure compliance** — the issuer list was not pulled.
9. **Our own ability to trade it** — Japan trading permission, market-data subscription, and the 100-share trading unit are all unconfirmed. Neither bench checked.

10. **Currency-balance check** against the existing yen funding position before any buy.

11. **Seasonality**: the bull leg leans on a first quarter that is seasonally the smallest for a March-year-end Japanese contractor. Our seasonality tool covers US filers only — **coverage gap**, reported rather than silently skipped.

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`immediate_entry` is deliberately null: the verdict is **PROPOSED — PENDING**

ADJUDICATION, and the fence must not auto-arm a purchase that has not been ratified. On

ratification, the entry to arm is BUY at ≤¥1,470, sized at the lesser of 0.25% of book or ¥5.0M, worked at ≤1% of daily volume over ≥10 sessions.